

Source Integration

- Class 11 Indian Economic Development, Chapter 8: Comparative Development Experiences of India and its Neighbours

Core Factual & Conceptual Architecture

1. Shared Origins and Political-Economic Models

- Shared Starting Point: All three nations initiated planned development in the early 1950s with large public sectors, similar growth rates, and comparable per capita incomes until the 1980s.
- Political Divergence: India adopted a democratic, secular constitution; Pakistan experienced alternating military and civilian rule; China operated as a one-party command economy.

2. China's Development and Reform Path

- Pre-Reform Era: Centralized control under Mao, including the Great Leap Forward (1958) which induced a severe famine, and the Cultural Revolution (1966-76).
- 1978 Economic Reforms: Phased market opening starting with agriculture (household responsibility plots), followed by a dual-pricing system, Special Economic Zones (SEZs), and state-enterprise reforms.
- Pre-Reform Foundations: Solid social capital, rural health infrastructure, and equitable resource distribution enabled successful reform implementation.

3. Pakistan's Economic Trajectory

- Policy Swings: Pursued import substitution in the 1950s-60s, nationalized capital goods in the 1970s, and reversed toward denationalisation and private encouragement in the 1980s aided by Middle Eastern remittances.
- Structural Vulnerabilities: High reliance on foreign aid and remittances, political instability, and agricultural volatility dependent on weather conditions rather than institutionalized progress.

4. Demographics, Sectoral Structure, and Human Development

- Demographics: Pakistan maintains high population growth (1.96%), India grows moderately (0.81%), and China contracts (−0.10%) following its historic one-child policy.
- Sectoral Transformation: China successfully transitioned a large share of its workforce into industry and services, whereas India and Pakistan remain trapped in a GVA-employment mismatch where agriculture employs disproportionate shares.
- Human Development: China leads decisively across HDI metrics (infant mortality, life expectancy, sanitation, and poverty eradication), while India and Pakistan lag, particularly in maternal mortality. The chapter stresses that HDI must be evaluated alongside "liberty indicators."